To begin your Capstone lab presentation preparation, build on the Company Profile you submitted earlier and use the questions below to guide your analysis. This deliverable will help prepare teams for both the Capstone lab and your final company assessment.

Before you start this assignment, be sure to consult the preparation guidance for the Capstone Project Lab. Economics, Strategy and Marketing might each be relevant for any of your key assumptions and might have greater or lesser impact depending on which company you have chosen and the market conditions for your company. All three subjects are related and sometimes correlated to one another. Your analysis of each subject may affect assessment of the other subject areas. Make sure you consider and acknowledge any factors that make your assumptions inherently uncertain.

External analysis: Where to play

1. **Macro environment.** Using PESTLE, identify the few macro factors that matter most for your company's market, and link each to a cost (supply) or WTP (demand) driver.

Political: Supply (cost) & Demand (WTP)→ changes in political policy can affect supply if the government implements stricter rules on short-term rentals. Some examples could be restrictions on the number of days per rental if there is a housing shortage, increased costs in accordance to licensing and registration requirements which would discourage customers. The demand side of this would be increased tourism promotion in some locations, travel bans or restrictions with incoming conflicts, and overall political instability which could discourage consumers from travel/vacation.

Economic: Demand → higher consumer income would lead to an increase in demand for travel as consumers become more comfortable. Lower WTP if there is a recession or increase in inflation.

Social: Demand → consumer preferences may fluctuate over time (vacation inclined, hotels vs. rentals)

Technological: Supply → Airbnb is currently secure in their website modeling which is very comprehensive and meets consumer needs, giving them a safe enjoyable experience.

Legal: highly influential - supply → Airbnb is already dealing with a lot of regulations and any future changes could potentially make them re-work their website.

Environmental: supply and demand → cost would be based on global warming or climate change makes some locations unable to accommodate rentals → demand (WTP) would be if consumer preference shifts towards environmentally sustainable instead of soley enjoyable.

2. **Industry structure. Define your industry boundaries, then assess Porter's five forces (plus any complements, if relevant). Which force is the binding constraint on profitability, and how is it likely to evolve?**

Airbnb operates in the online travel accommodation industry which connects hosts with guests looking for short term rentals or other unique experiences.

a) New Entrants - Moderate
   i) Breaking into the market isn't too hard from a technology and resource perspective but it is very difficult to create a market as vast as Airbnb's. It is also hard to establish the brand recognition that many companies already have in the industry.
b) Bargaining Power Suppliers - Moderate
   i) Hosts can use different platforms to see where they will get the best price but since the customer base for airbnb is so high it keeps them in the game.
c) Bargaining Power Buyers - High
   i) It is very easy for customers to switch which platform they are booking on and they will tend to go where the prices are lower which makes the market very competitive.
d) Threat of Substitutes - High
   i) There are a ton of hotels and resorts, etc. which offer a similar but different product to airbnb which creates a lot of competition across markets.
e) Rivalry - High
   i) There are also many current platforms competing against airbnb such as bookings.com and expedia (Vrbo) which creates a lot of competition between price and inventory and trust of customers.

The largest force binding constraint on profitability is the volume of competition (rivalry) which pushes prices down as buyers can easily switch between sites.

3. **Are there any emerging or disruptive competitors, substitutes, or business models reshaping where value is created and captured?**
   a. Airbnb operates within an ever-evolving travel industry with several emerging competitors and substitute services.
      i. Booking.com has aggressively expanded into vacation rental listings alongside hotels.

ii. Vrbo (owned by Expedia Group) focuses heavily on whole-home vacation rentals, particularly targeting families.
iii. Expedia Group continues integrating alternative accommodations into its ever-growing travel ecosystem.

Internal analysis: How to play

1. Place your company on the value disciplines framework (operational excellence, product leadership, or customer intimacy), and state the trade-offs that position implies — what it is deliberately choosing not to do.

Airbnb is heavily focused on their operational excellence and consumer intimacy over anything else. As they don't truly have a real need for continuous development (outside of keeping their company's website up to date). They make a heavy claim about their customer intimacy and seem to try to focus on their customer satisfaction and it mostly pays off. In the short term rental rankings the average net promoter score sits at around a +20, Airbnb is outperforming their direct competitors and is sitting at a comfortable 24. There are drawbacks to this though, by focusing so heavily on product leadership and they leave themselves quite open to movement by rivals who may not put as much focus on operational excellence and rather choose to focus more heavily on product leadership or push their customer satisfaction even more. Airbnb deliberately chooses not to really develop anything as they have no real need to. They don't force renters to exclusively use them nor do they have a point system for buyers to encourage them to solely use Airbnb. They can in a way avoid having to deal with the fear of another platform taking their users as it takes years of operational excellence to become an extremely trusted brand, however this only works in the short term and as other platforms gain a stronger footing it may be necessary for Airbnb to begin attempting to lock down their consumers. Although they aren't focused on product leadership they have done a bit by making it extremely easy for any want-to-be hosts to start hosting. This however, seems to be the extent of their product leadership. Overall Airbnb heavily focuses on operational excellence, followed by customer intimacy and lastly product leadership.

2. **Resources and capabilities.** Identify your company's key resources (tangible/intangible) and capabilities (by function), and apply the VRIO test to each. Classify each as a disadvantage, parity, temporary advantage, or sustainable advantage.
    a. https://fourweekmba.com/airbnb-organizational-struture/#Airbnb_Organizational_Struture

Key resources:

- Tangible
    - Housing → shared commodity and Airbnb does not have ownership, but this is the main physical commodity that they use
    - Cash flow → from the hostees and guests, strong compared to most of its competitors besides Booking Holding, which operates at a bigger scale
    - Time → a lot of time is devoted to handling legal and regulatory changes, something that management devotes a lot of cash to as well because it is the most demanding aspect of the business of short-term rentals.
- Intangible
    - Technology → Airbnb's biggest asset, while it is not perfect and there are many complaints about refunds that come with the liability of renting out a house, it has connected the business with enough hosts to give them an advantage over competitors - Airbnb is the first option for most hosts and consumers.
    - Strategy - "**mission is to create a world where anyone can belong anywhere"** → global expansion for more hosts, encouraging longer stays and supplying diverse property types, identity verification programs for hosts and guests, reviews for both sides as well, "AirCover" protections for guests and hosts, strong community standards for inclusivity and sustainability

Capabilities:

- Management - holacracy model for flexibility, a lot of AI use (78% of operational decisions)

reources/capibility	type	valuable	rare	inimitable	Organizationally exploitable
Global network	tangible	yes	yes	yes	yes
Technology platform	intangible	yes	moderate	yes	yes
Brand reputation and trust	tangible	yes	yes	yes	yes

FCF/cash	tangible	yes	yes	yes	yes
culture	intangible	yes	yes	yes	yes
Regulatory compliance (managerial)	capability	yes	no	no	yes
Marketing and customer acquisition	capability	yes	yes	moderate	yes

3. **Activity system.** How do the company's operational choices reinforce one another to support its strategy, and what makes the system as a whole hard to copy?

There are a number of operational choices that Airbnb has made that supports their strategy. Some of these are their large host network which creates more options for guests leading to more customers as well. This cycle builds on itself because more guests (more demand) also leads to more hosts. Airbnb also has strong trust with guests and hosts so that everything is really safe and the consumer experience is super smooth and reliable. The operational choice of being asset-light has also made it so airbnb can easily expand within the global market and focus on improving their platform rather than physical assets. These choices together have created a network that builds on itself and only gets stronger as there is more participation. The system itself (meaning the technology) is not hard to replicate but the vast global network that airbnb has created with millions of hosts and guests is extremely difficult to replicate. This is especially true because large brand companies like Airbnb and vrbo already have their foot in the door.

4. **Sustainability and fit.** Taking everything together, how sustainable is the company's advantage today, and is it eroding over time (resources losing their value or rarity, the system being copied, fit weakening)? What does this imply for the narrative behind your key financial forecast assumptions?

- Airbnb has a much higher use rate than its competitors, and while this could change, people tend to stick with what works and they know will be good. It takes a real reason for people to sign up and switch to another service. We believe this competitive advantage will stay for a while.

Deliverable. Upload a written document of bullet points addressing the questions above. The points should add up to a coherent argument and support the narrative underlying the key financial forecast assumptions in your model.